

ONE-PAGE EXAM OVERVIEW

Make sure to double check your figures at each step of the calculation.

INCOME TAX:

STEP 1: Total income:

All sources of income = Total Income

Income	Not income	Exempt
Salary Pension earnings Savings interest Dividend Benefits in kind	Gifts, Trivial benefits in kind	Interest on ISAs/NISAs, Gambling wins, Damages, Redundancy pay

STEP 2: Less pension and qualifying loans:

Total Income – Pension payments – Qualifying Loans interests = Net Income

Qualifying loans: loans to buy an interest/shares in a partnership/'close' company/employee-controlled company/co-operative.

STEP 3: Less Personal Allowance:

Net Income – Personal Allowance (£12,570) = Taxable Income

If Net income > £100,000:
 $£12,570 - (\text{Net Income} - £100,000) / 2 = \text{Reduced allowance}$

STEP 4: Split:

Income from dividends = Dividend Income.
All interest from savings = Savings Income.

Taxable income – Savings Income – Dividend income = Non-savings Income

STEP 5: Savings allowance:

Basic rate taxpayers: **£1,000** taxed at 0%
 Higher rate taxpayers: **£500** taxed at 0%
 Additional rate taxpayers: **no** allowance.

STEP 6: Apply tax bands and tax rates:

Tax the non-savings income:
 Up to £50,270 is taxed at 20%
 £50,270 < x < £125,140 is taxed at 40%
 Above £125,140 is taxed at 45%

Tax the savings income (same rates)

Tax dividend income (separate rates!)
 All taxpayers – £1,000 is taxed at 0%
 Basic rate taxpayers – taxed at 8.75%
 Higher rate taxpayers – taxed at 33.75%
 Additional rate taxpayers – taxed at 39.35%

Add up the tax liabilities for non-savings, savings and dividend income.

PAY LESS INCOME TAX:

Transfer money/shares to spouse if spouse has:

1. Personal allowance left to use
2. Personal savings allowance
3. Or if they are a basic rate taxpayer.

Increase pension contributions.

CAPITAL GAINS TAX:

STEP 1: Sale proceeds:

Exempt capital:

1. Principal **private residences**
2. **Cars** for private use
3. Moveable **property** under £6,000
4. Disposals to **charities**
5. Disposals between **spouses**

STEP 2: Less disposal expenditure:

Sale proceeds – Disposal expenditure = Net Sale Proceeds

Disposal expenditure: Agents' commission.

STEP 3: Less initial/subsequent expenditure:

Net sale proceeds – Initial and subsequent expenditure = Total Chargeable gain

Initial Expenditure: Original purchase price and the fee of acquisition
Subsequent expenditure: Enhancements, repairs

STEP 4: Less losses and Annual exemption:

Total Chargeable Gain – Losses – Annual Exemption (£6,000) = Taxable Chargeable gain

STEP 5: Apply the tax rates:

Basic rate taxpayers: **taxed at 10%, 18%** for residential property.

Higher/additional rate taxpayers: **taxed at 20%, 24%** for residential property.

For all taxpayers with BADR – taxed at 10%

BADR conditions: *£1 million lifetime limit*

1. Company is a trading company.
2. Client owned min 5% of ordinary shares for 2 years.
3. Client has been an **employee** at the company for 2 years.

STEP 6: Other reliefs:

Rollover relief	Holdover relief
Use if the sale proceeds of plant/machinery are used to buy a new asset.	Business asset gifts: CGT liability is transferred to the donee and deferred until sale.

CORPORATION TAX – TWDV:

Identify the **cost** of **Plant & Machinery**.
Annual Investment Allowance (AIA): £1mil per year.

PLANT/MACHINERY COST: £1,300,000
Allowance claimed: £1,000,000 (maximum)
 Remaining amount: £300,000 – this is the **reducing balance.**

Deduct the tax for the year (19% for small companies): $£300,000 \times 0.19 = £57,000$

Total allowance: AIA + 19%, so here £1mil + £57,000 = £1,057,000
TWDV: £1,300,000 – £1,057,000 = £243,000

CORPORATION TAX:

STEP 1: Income and capital:

Select which amounts relate to **income** and which amounts relate to **capital**.

STEP 2: Trading Income Profits:

Income – Deductible Expenditure – Capital Allowances – Trading losses = Trading Income Profits

Deductible expenditure: spending that reduces profits (**not dividends**)

Capital allowances: spending under **£1mil** on **plant and machinery**

STEP 3: Taxable Chargeable Gain:

Sale proceeds – Disposal costs – Initial/subsequent expenditure – Indexation allowance – Rollover relief – Losses = Taxable Chargeable gain

Initial Expenditure: Original purchase price and the fee of acquisition
Subsequent expenditure: Enhancements, repairs

Rollover relief: if the sale proceeds of **plant/machinery** are used to buy a new asset.

Substantial Shareholder Exemption:

1. Selling company owned at least **10% of the ordinary share of the Target's shares** for 12 months
2. Both companies are trading companies or members of a trading group.



If SSE applies, no tax is payable at all.

STEP 4: Total Taxable Profit:

Income Profits + Chargeable gains = TTP

STEP 5: Total tax liability:

If the TTP is £50,000 or less – **taxed at 19%.**
 TTP between £50,000 and £250,000 – **taxed at 25%, eligible to Marginal relief**
 TTP over £250,000 – **taxed at 25%**

VAT:

Businesses must register for VAT if their **taxable turnover exceeds** the registration threshold.

Registration threshold: £85,000.
De-registration threshold: £84,000.

s.24 VATA 1994 Output tax = the VAT chargeable by a business when making a supply of goods/services.

s.24 Input tax = The VAT paid by a person on goods or services supplied to the person. The VAT relates to goods/services bought by the person.

The standard rate of VAT is 20%

BASIC PRINCIPLES OF TAX

INTRODUCTION TO TAXES:

On the SQE, taxes are only examined in relation to the following subjects:

1. Property Practice
2. Business Law and Practice
3. Will and Administration of Estates

Examinable taxes:

1. **Income Tax:** paid by individuals (employees, sole traders, partners in a partnership, company directors).
2. Capital Gains Tax (CGT)
3. Corporation Tax
4. Value Added Tax (VAT)
5. Inheritance Tax (IHT)
6. Stamp Duty Land Tax (SDLT)

Types of taxes:

Direct taxes:

Direct taxes = taxes imposed by reference to a taxpayer's circumstances.
Eg. Income tax, CGT, IHT and corporation tax.

Indirect taxes:

Indirect taxes = taxes imposed by reference to transactions.
Eg. VAT and SDLT.

THE DISTINCTION BETWEEN INCOME AND CAPITAL:

When working through a tax calculation problem, start by collecting all your figures and **highlighting** them.

Each figure will fall into one of four categories:

- * Income receipts
- * Capital receipts
- * Income expenditure
- * Capital expenditure

Work out which category each of the figures will fall into. – any amount will fall into one of these categories and cannot fall into more than one category.

Income receipts:

Receipt of money that originates from **regular income generation**, income received on a recurring basis.

Example:

- * Salary
- * Trading profits of a business will be the income of the owner
- * Interest charged on loans will be the income of the lender (whether paid monthly/quarterly)
- * Rental income paid to landlord will be the income of the landlord.

Other income that will fall in this category:

- * Pension earnings
- * Interest on savings
- * Dividend
- * Benefits in kind given to you by the company you work for (health insurance, a company car and low-interest or interest-free loans of more than £10,000).

Capital receipts:

Falls into this category if there is an income receipt and that income is due to a sale that is not part of a regular activity. Capital receipts are 'one-off' transactions.

Example:

- * Selling your car if you don't sell cars as part of a business.
- * Selling a painting if you don't sell paintings as part of a business.

Income expenditure:

If the expense is incurred due to the day-to-day trading activities of a business, it will be classed as income expenditure.

Example:

- * Payment of rent – for business premises.
- * Paying bills – eg. staff wages, heating, lighting, rent or marketing/stationery expenses.
- * Paying for repairs of business premises/business vehicle etc.

Capital expenditure:

If you spend money on a new capital asset or enhancing an existing asset as part of the business, it is 'capital' expenditure. Capital expenditure is a 'one-off' transaction.

Example:

- * Buying new large equipment/machinery.
- * Buying new property.

- * Spending money on enhancing existing equipment/machinery/premises.
- * Paying bills – eg. staff wages, heating, lighting, rent or marketing/stationery expenses.
- * Paying for repairs of business premises/business vehicle etc.

ASSESSMENT OF TAX:

Tax assessment for **individuals** – based on **Tax year**

Tax assessment for **companies** – based on **Financial year** (although companies may choose a different period for tax assessment purposes, called the **accounting period**)

Both the tax year and financial year are different to the calendar year.

Tax year: starts 6 April, ends 5 April the next year.

Financial year: starts 1 April, ends 31 March the next year.

HOW IS TAX COLLECTED?

HMRC collects tax from individuals and businesses via the self-assessment system.

In some cases, income tax is deducted at source, meaning that the payer of a taxable sum deducts the tax and accounts for it to HMRC on the recipient's behalf before the net amount is paid out. The recipient therefore receives the sum net of tax. One example of this is the **Pay As You Earn (PAYE) system**. The employee receives the wage/salary net of income tax.

INCOME TAX – GENERAL RULES

INTRODUCTION TO INCOME TAX:

Who pays income tax:

Income tax is **paid** by **individuals** and **not** companies.

This includes:

- * Employees
- * Sole traders
- * Partners in a partnership
- AND
- * Company directors

Deceased persons:

People who are deceased will also need to **pay income tax** if the tax relates to a period when they were working prior to their death and on any **income received on their estate**. – eg. rental income generated by the house that forms part of the estate.

This will be **paid by their personal representatives** as part of the administration of their estate.

What is taxable for income tax purposes?

Income tax is paid on receipt of money that originates from **regular income generation (income profits)**. Capital profits will not be taken into account for income tax purposes.

Foreign income:

Foreign income = income originating from abroad.

If the individual is a **UK resident**, they **must pay tax on foreign income** they receive during the tax year.

The taxpayer will be deemed to be a UK resident if they have spent at least **183 days in the UK** during the relevant tax year.

ASSESSMENT AND COLLECTION OF INCOME TAX:

The tax year for income tax purposes is **6 April to 5 April** the following year.

Self-employed/partners – Self-assessment:

Self-employed:

Directors and **self-employed** people are always required to complete a **self-assessment tax return**. In this case, it is up to the individual to calculate the tax bill and not HMRC.

Individuals might be **both employees and self-employed** to account for any additional income they may have received during the tax year via different means and this income will be called a trading income. – eg. **side hustle, rental income, dividend or savings income**.

If you are self-employed, you must also **register** with HMRC as self-employed **within 3 months** of starting the business.

Deadlines for submitting tax return:

1. If submitted **online** – must be filed by **31 January**
2. If submitted in **paper form** – must be filed earlier, by **31 October**

Partners in a partnership:

If your client is a partner in a partnership, **their share of the partnership's profit** must be included in their tax return.

Partnership profits, unlike company profits are distributed in accordance with the rules of the partnership or the partnership agreement (if any), and each partner will receive a share.

The partners **must pay income tax** on this share they are receiving, this is also, similarly to sole traders, called a trading income.

The partnership itself does not pay income tax, and the partners will have to nominate a partner who will file a **Partnership Tax Return** form with HMRC, essentially reporting on the income of the partnership, showing any expenses and deductions and each partner's share.

Overlap profits:

A business (partnership or sole trader business) may decide to have an **accounting period** that is **different** from the tax year.

Because HMRC calculates tax based on the tax year, HMRC will set a **"basis period"** for the tax year ending with 31 December and as a result, some of the profits earned in the first year will be **taxed twice**. These are called **overlap profits**.

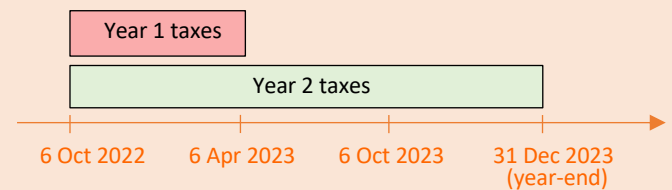
This tax paid will **not** be **returned** until the business **ceases trading** or if their accounting period changes to the official tax year. When this tax is returned, this is called **overlap relief**.

Example:

A sole trader has an accounting period running from 6 October to 6 October the next year. Their business is going well so they cease trading on 1 Mar 2025 and become an employee of the limited company they register at Companies House.

What is the amount of overlap relief that will apply.

6 Oct 2022 – 5 Oct 2023 Their trading income is £34,000.
6 Oct 2023 – 5 Oct 2024 Their trading income is £49,000.
6 Oct 2025 – 1 Mar 2025 Their trading income is £21,000.



Employees – Deduction at source:

Employed individuals are not required to complete a self-assessment tax return because their tax is collected via the **PAYE system** (the tax is deducted at source – receives income net of tax).

PAYE system procedure:

- * The employer can set a **payroll period** for their employees.
- * For each period, the employer is required to calculate the income tax payable by the employee for that period.
- * If the employee earns **more than £184 per week**, the employer must deduct the income tax alongside the National Insurance contributions.
- * On or before payday, the employer will be required to send a **Full Payment Submission (FPS) report** to HMRC showing the amount that has been deducted.
- * The payments must be sent to HMRC **every month**. If an employee receives less than £1,500 per month, then the employer may make these payments every quarter instead.
- * The employer may report to and pay HMRC **online**, if that is the case, the report and payments must be received by HMCR **by the 22nd of each month**.
- * If a report and/or payment is **submitted late**, HMRC may charge interest and may issue a penalty charge to the employer.

DIFFERENT TYPES OF INCOME:

There are three different categories of income and individual may receive:

1. Savings income
2. Non-savings income
3. Dividend income

Savings income will include:

- * Interest from savings accounts
- * Interest from government and company bonds
- * Income from credit union accounts

Non-savings income will include:

- * Salaries and bonuses
- * Trading income from a business
- * Pension earnings
- * Rental income

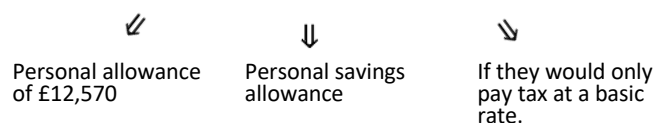
Dividend income will include:

- * Dividends received on shares.

Partners and sole traders will receive **trading income** instead of a salary, however for individuals who receive both a salary and a trading income, both can be included in their tax calculations.

SUGGESTIONS FOR PAYING LESS TAX:

Transfer the money on deposit or the shares to spouse if they have one of the following:



Client may try to:

- * Increase their personal pension contributions to benefit from tax relief and reduce their Net Income
- * Apply for marriage allowance.
- * Make contributions to tax-efficient savings vehicles such as ISAs.
- * If they are partners/sole traders, use Loss Relief.

Loss Relief:

If a sole trader or partnership has made a loss in one tax year, the loss can be deducted from next year's profits to reduce the income tax payable.

Loss relief can be used before applying any available personal allowances, reducing the total income.

Any **excess loss** that remains after loss relief has been used to reduce the net income can be used to **reduce any capital gains** made within the same tax year.

Sole trader:

Tax year 2021-22: Made £5,000 in loss (If I spent £8,000 on advertising and made only £3,000)

Tax year 2022-23: Made £15,000 profit

Income tax calculations for tax year 2022-23: £15,000 - £5,000 = £10,000

ANTI-AVOIDANCE RULES:

Tax legislation has been developed to stop loopholes exploited by taxpayers seeking to reduce/eliminate their taxes. HMRC and the courts are increasingly cutting down tax avoidance schemes. This legislation has introduced the **general anti-abuse rules (GAAR)**.

In relation to income tax:

- * HMRC will be able to look behind tax arrangements if the arrangement cannot be **reasonably regarded** as a **reasonable course of action** by the taxpayer. This is called the **double reasonableness test**.
- * If HMRC finds such an arrangement, they may tax the taxpayer amount they should have been taxed without the arrangement. This will be done if this is **just and reasonable** under the circumstances. – rather than sending out a new tax bill, HMRC will make an adjustment to the amount payable.
- * Under the rules, taxpayers cannot reduce their income tax liability by making gifts of income-producing items. – eg. **dividend or interest-paying shares to their children**.
- * The income will be treated as remaining with the taxpayer making the gift.

INCOME TAX CALCULATIONS

Start by **collecting all your figures and highlighting them**. Separate each figure into separate categories.

To calculate the total income, **use income receipts in your calculation**.

Also highlight **income expenditure and capital** expenditure as these might be deductible.

STEP 1: TOTAL INCOME:

Next, we will calculate the Total Income.

Add up all sources of income = Total Income.

Income:

Receipt of money that originates from regular income generation.

Examples:

- * Salary
- * Trading income (income from a sole trader business or partnership)
- * Rental income
- * Pension earnings
- * Interest on savings
- * Dividend

- * Benefits in kind provided by your employer:
 - Health insurance
 - A company car
 - Low-interest/interest-free loans above £10,000.

If some of the amount you have been given is not for a year, make sure to **adjust** the period for each income **to one year**.

If you have to calculate the trading income:

Calculate the **gross income** received by the business for its accounting period and **deduct the expenses of the business**. – if the taxpayer in your question is also receiving a salary from employment, then make sure that the period covered by the salary is the same as the accounting period.

Business expenses may only be deducted if they have been incurred **wholly and exclusively** for the purposes of the business. If only a proportion of an expense has been used for business purposes, you can deduct that proportion. – if for example, the taxpayer pays for broadband and uses the internet for the business 40% of the time, and the other 60% of the time, he uses it for his own private purposes, then only 40% of the broadband cost is deductible as an expense.

Capital expenses such as plant and machinery can also be deducted if the cost is within the **Annual Investment Allowance** figure: £1 million.

Not income:

- * Gifts
- * Trivial benefits in kind max. £50 (except cash)
- * Capital receipts from one-off sales which are capital receipts

Exempt income:

- * Interest from an **Individual Savings Account (ISAs and NISAs)**
- * Interest from **National Savings Certificates**
- * Gambling or lottery wins
- * Winnings on **Premium Bonds**
- * Personal injury claim damages
- * Redundancy pay-outs or damages max. £30,000
- * Child Benefit, Child Tax Credit, Working Tax Credit, Universal Credit, Housing benefit

STEP 2: LESS PENSION AND INTEREST ON QUALIFYING LOANS:

Next, we will calculate the Net Income.

Total Income – Pension contributions – Interest on Qualifying Loans = Net Income

Pension contributions and Interest on Qualifying Loans are subject to Tax Relief so they are deducted before taxing income.

Pension contributions:

One may pay contributions into a pension scheme – either an occupational pension scheme (set up by their employer) or a personal pension scheme. Both types must be deducted from the Total Income.

Qualifying loans:

1. Loans to a **partnership** or loans to contribute capital to a partnership.
2. Loans to buy shares in a **close company** (a small company with 5 shareholders or less).
- AND
3. Loans taken on by Personal representatives to pay **inheritance tax** on the estate.

Make sure that the loan you have in your scenario is a qualifying loan. Don't deduct interest that comes from loans that don't meet this criteria.

STEP 3: LESS PERSONAL ALLOWANCE:

In step 3, we will calculate the Taxable Income.

Net Income – Personal Allowance (£12,570) = Taxable Income

Net income – £12,570 = Taxable income

Above £100,000 Net income:

If the Net income is more than £100,000, **the personal allowance is reduced (tapered)**.

The personal allowance will be reduced by £1 per every £2 of income that goes above £100,000.

Marriage allowance:

Couples may transfer part of their personal allowances between each other to obtain a more favourable tax position. The maximum transferrable amount is £1,260 for the tax year.

Marriage allowance conditions:

1. The couple must be married/civil partners.
2. The transferring party's income must be below the personal allowance amount.
- AND
3. The receiving party must be a basic rate taxpayer before the transfer.

STEP 4: SPLIT:

In step 4, we will split the Taxable income into different categories.

Add up all income coming from dividends = Dividend Income.

Add up all interest coming from savings = Savings Income.

Taxable income – Savings Income – Dividend income = Non-savings Income

Example:

£50,000 pa:
£10,000 pa dividend income – dividends from two companies, £7,000 from AB Ltd and £3,000 from XYZ Ltd.
£10,000 pa savings income
£30,000 pa non-savings income

STEP 5: IS SAVINGS ALLOWANCE AVAILABLE?

In step 5, we will calculate the personal savings allowance.

Interest on Savings: Personal savings allowance:

For basic rate taxpayers – their first £1,000 – taxed at 0%

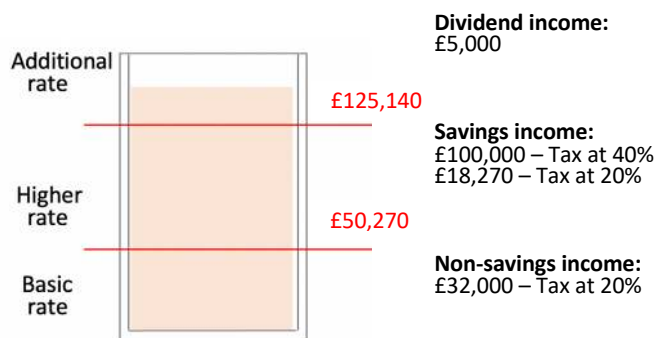
For higher rate taxpayers – their first £500 – taxed at 0%

For additional rate taxpayers – no allowance.

STEP 6: APPLY TAX BAND AND TAX RATES:

In step 6, we will apply the tax bands and calculate the tax liability.

Measuring jug method:



Use the measuring jug method to calculate the tax owed. Think of tax bands as the measurements on the jug. Each type of income is poured on top of the other.

- * **First, tax the non-savings income (tax year 2024/25, check if still valid):**

1. The first £50,270 is taxed at 20%
2. £50,270 < x ≤ £125,140 is taxed at 40%
3. Anything above £125,140 is taxed at 45%

£220,000:

£37,700 taxed at 20% = £7,540

£125,140 - £50,270 = £74,870 taxed at 40% = £29,948

£220,000 - £125,140 = £94,860 taxed at 45% = £42,687

Tax liability for non-savings income: £80,175

- * **Second, tax the savings income.**

Work out the tax band that you reached for non-savings income, then tax the savings income in that band. If the total savings income amount spills over into the next band, tax the rest of it at that rate.

£3,200:

Elliot is an additional rate taxpayer.

£3,200 taxed at 45% = £1,440

- * **Finally, tax the dividend income (separate rates apply!)**

Rates for dividends (tax year 2024/25, check if still valid):

1. For **all taxpayers** – their first £1,000 – taxed at 0%
2. For **basic rate taxpayers** – above £1,000 – taxed at 8.75%
3. For **higher rate taxpayers** – above £1,000 – taxed at 33.75%
4. For **additional rate taxpayers** – above £1,000 – taxed at 39.35%

£46,000:

£1,000 taxed at 0%

£45,000 taxed at 39.35% = £17,707 (rounded down)

- * **Now add up the tax liabilities for non-savings, savings and dividend income.**

£85,203 + £1,440 + £17,707 = £104,350 is the tax liability.

PRACTICE QUESTION 1:

Margaret is 48 and is a partner in a small consultancy partnership business. She lives with her wife Amy, aged 46. The following information relates to her income and tax affairs for this tax year.

1. Trading profits for tax purposes	£160,000
2. Interest received on bank deposit	£2,000
3. Capital gains	None
4. Contributions paid by Margaret into a personal pension scheme	£5,000
5. Interest paid on loan from Barkers Bank plc taken out by Margaret to enable her to invest in the partnership	3,000
6. Dividend on shares in Central Electricity plc	£6,222

Margaret also received a gift of some shares from her father. Their market value at the time they were received was £15,000.

Amy does not work but is involved in voluntary work for a local charity.

What is Margaret's total tax liability?

Trading profits	£160,000
Bank Interest	£2,000
Dividend income	£6,222
TOTAL INCOME:	£168,222

Less interest on qualifying loans	(£3,000)
Less personal pension contrib.	(£5,000)
NET INCOME:	£160,222

Personal allowance:

£12,570 - (£161,222 - £100,000) = a negative number

As the personal allowance equals to a negative number, no personal allowance is left to deduct from Net Income.

Less personal allowance	(£0)
TAXABLE INCOME:	£160,222

Margaret is an additional rate taxpayer and therefore she is not entitled to a personal savings allowance.

TAXABLE INCOME:	£160,222
Less savings income	(£2,000)
Less dividend income	(£6,222)
NON-SAVINGS INCOME:	£152,000

Calculate Tax Charge:

Divide taxable income (as follows in order):

1. Non-savings income
2. Savings income
3. Dividend income

NON-SAVINGS INCOME:

All non-savings income: £152,000

£0 - £50,270

At 20% basic rate (No starting rate for non-savings)

£50,270 x 20% = £10,054

£50,270 - £125,140 i.e. £74,870

At 40% higher rate

£74,870 x 40% = £29,948

Above £125,140 i.e. Remaining £26,860

At 45% additional rate

£26,860 x 45% = £12,087

SAVINGS INCOME:

All savings income: £2,000

£2,000 at 45% = £900

DIVIDEND INCOME:

First £1,000 at 0% = £0

£5,222 at 39.35% = £2,054

£7,540 + £29,948 + £12,087 + £900 + £2,054 = £52,529

TOTAL TAX LIABILITY: £52,529

Note: The gift is not of an income nature and not subject to income tax.

PRACTICE QUESTION 2:

For this tax year, Haiden has Taxable Income of £220,000 of which £20,000 is savings income and £25,000 is dividend income – Taxable income means that the personal allowance has already been deducted.

Taxable Income – savings income – dividend income = non-savings income (£220,000 - £20,000 - £25,000 = £175,000)

TP's non-savings income	£175,000
TP's savings income	£20,000
TP's dividend income	£24,000

We then need to consider whether the personal savings allowance is available. As some of Haiden's Taxable Income is within the additional rate band, the Haiden will not have the benefit of the personal savings allowance which means that the savings nil rate will not apply.

Charge tax as follows:	Tax due
Non-savings income (first slice)	
20% on £50,270	£10,054
40% on £50,270 - £125,140 i.e 74,870	£29,948
45% on £125,140 - £175,000 i.e. £49,860	£22,437
Savings income (next slice)	
45% on £20,000	£9,000
Dividend income (top slice)	
0% on £1,000	£0
39.35% on £23,000 (£25,000-£2,000)	£9,050
Total tax payable	<u>£80,489</u>

CAPITAL GAINS TAX (CGT)

Start by collecting all your figures and highlighting them. Separate each figure into separate categories.

CGT is paid on receipt of money that originates from **one off sales**.

Foreign sale:

Foreign sale = sale of an asset situated abroad.

If the individual is a **UK resident**, they **must pay tax on foreign capital gains** they receive during the tax year.

The taxpayer will be deemed to be a UK resident if they have spent at least **183 days in the UK** during the relevant tax year.

Taxpayers who are not resident in the UK do not pay tax for assets sold in the UK.

STEP 1: CALCULATE THE SALE PROCEEDS OF EACH ASSET:

Capital income = income from one-off sales.

If the asset is transferred as a gift, sold at an undervalue or sold to a connected person, instead of the sale proceeds, use the market value

Capital receipts:

Falls into this category if there is an income receipt and that income is due to a transaction that not part of a regular activity. Capital receipts are 'one-off' transactions.

Example:

- * Selling your car if you don't sell cars as part of a business.
- * Selling a painting if you don't sell paintings as part of a business.
- * Selling a house.

Exempt capital:

1. Principal **private residences**: this one applies for first homes if the house is primarily used as a first home (Private Residence Relief).
2. **Cars for private use** – incl. vintage cars.
3. Any tangible moveable **property worth less than £6,000**
4. Disposal of some **investments** – such as government securities, National Savings certificates, ISAs and life assurance policies.
5. Disposals to **charities**
6. **Spouses** transferring assets to each other.

STEP 2: LESS DISPOSAL EXPENDITURE:

Sale proceeds – Disposal expenditure = Net Sale Proceeds

Disposal expenditure = Costs of disposal – eg. agents' commission.

STEP 3: LESS INITIAL AND SUBSEQUENT EXPENDITURE:

Net sale proceeds – Initial expenditure – Subsequent expenditure = Total Chargeable gain

Initial Expenditure:

1. The cost price of the asset – **base cost, costs of original purchase.**
AND
2. The costs of acquisition – **surveyors' and lawyers' fees.**

Subsequent expenditure:

1. Subsequent expenditure if enhances asset's value – **repairs and general maintenance are not subsequent expenditure.**
AND
2. Money spent on defending title to the assets

STEP 4: LESS LOSSES CARRIED FORWARD AND ANNUAL EXEMPTION OF £6,000:

Total Chargeable Gain – Losses carried forward – Annual Exemption (£6,000) = Taxable Chargeable gain

If any net capital losses were made in previous years, carry those forward to reduce the Taxable Chargeable Gain

If the losses are more than the Total Chargeable Gain in the same tax year, any unrelieved losses are set against gains in future tax years i.e. carried forward until used up.

STEP 5: APPLY THE TAX RATES:

The rates depend on the rate calculated for taxable income. If an amount spills into the higher rate band, apply the higher rate amount.

For basic rate taxpayers – **taxed at 10%**

(18% for gains on sales of residential property)

For higher and additional rate taxpayers – **taxed at 20%**

(24% for gains on sales of residential property)

For all taxpayers with Business Asset Disposal Relief – **taxed at 10%**

If there are more than one capital gains, assets for which the Business Asset Disposal Relief (BADR) applies must be taxed and used up first.

Conditions of Business Asset Disposal Relief to be satisfied:

1. The company would need to be a **trading company**.
2. Client must own (and be able to vote in relation to) at least **5% of the ordinary shares in the company** and must be involved in running the company as an officer or employee.
3. Client must be entitled to receive at least 5% of the dividends and 5% of the assets on winding up.
4. Client will need to have met the above conditions for at least **2 years** immediately prior to the disposal, and Client must not have exceeded their **£1 million lifetime limit** in relation to Business Asset Disposal Relief.

The taxpayer must apply for Business Asset Disposal Relief on or before the first anniversary of the 31 Jan following the tax year in which the disposal is made.

STEP 6: CALCULATE THE TOTAL TAX PAYABLE:

If Rollover or Holdover relief applies, then no tax is payable now on that gain.

To calculate the total tax payable, add up all the tax liability.

Rollover relief:

This applies where the sale proceeds of the asset are used to buy a new asset. Rollover relief defers Capital Gains tax until the replacement is sold and no new qualifying replacement asset is purchased.

This applies to land and buildings and fixed plant and machinery.

The new asset need not necessarily be of the same type as the old one. It merely needs to be within the list of qualifying assets.

Holdover relief:

This applies where a **donor gifts a qualifying asset**, then the liability to Capital Gains tax is transferred to the donee (receiving the asset) and deferred until the donee sells.

The sale proceeds will be the **market value** of the asset.

Both donor and donee must jointly elect to claim hold-over relief.

Qualifying assets:

1. Assets used by a company in which the transferor owns at least 5% of the shares.
2. Shares in the transferor's company or an unquoted trading company.
3. Assets qualifying for agricultural property relief.

Example:

Carrie owns shares in a shoes company, Sparkly Toes Limited (STL), which are currently valued at about £450,000. Carrie acquired these shares for £13,000 when STL was first set up 10 years ago. She is considering giving them to her friend, Charlotte.

This would work as follows:

Acquisition cost of STL shares = £13,000
Market value of STL shares at date of gift = £450,000
Gross gain = £437,000

Carrie will not need to pay any CGT on the £437,000 gain. Instead, Charlotte will take Carrie's base cost of £13,000 and on a subsequent disposal will have to pay CGT on the gain of £437,000 plus any further gain following the date of the gift from Carrie (subject to the usual deductions and exemptions). Carrie cannot use her annual exemption to reduce the gain being held over.

£124,650 @ 10% = **£12,465**

So the total CGT liability on the sale of Hardeep's shares once Business Asset Disposal Relief has been applied is £18,825.

NB: Where Business Asset Disposal Relief applies it does not matter whether this individual is a basic, higher or additional rate income taxpayer, the rate for CGT will be 10%.

ANTI-AVOIDANCE RULES:

Taxpayers cannot reduce their CGT liability by creating and using artificial losses.

Taxpayers cannot lie and avoid tax by stating that they are not resident in the UK when in fact, they are.

While these shareholders might receive **valuable shares**, any gains made from the transfer as a going concern will qualify for a relief.

The gain becomes taxable once the owner sells the shares.

PRACTICE QUESTION 1:

This tax year, Helen made total chargeable gains (after allowable expenditure) of £36,000. Helen has no losses available to set off against any gain and is not entitled to Business Asset Disposal Relief. Her taxable income is £22,000.

How much CGT will she pay for this tax year?

Total chargeable gains	£36,000
Less Annual Exemption	(£6,000)
Taxable gains	£30,000

Tax at 10% on £15,700 (£37,700-£22,000)	£1,570
Tax at 20% on £14,300 (£30,000 (taxable gains) – 15,700)	£2,860

Total CGT liability	£4,430
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Helen has a taxable income of £22,000. This is £15,300 below the basic rate threshold of £37,700 (which is the basic rate threshold as per income tax).

This means that £15,700 of her taxable gains will be charged to the lower rate of 10%. The balance of the gains will take her income and gains above the basic rate threshold of £37,700, so that £14,300 will be charged at the higher rate of 20%.

So, although Helen is a basic rate taxpayer in terms of her income, her gains push her into the higher rate band for CGT purposes.

PRACTICE QUESTION 2 – BUSINESS ASSET DISPOSAL RELIEF:

Hardeep decided to sell his shares in his business, Clip Clops Limited, to a family friend. The company manufactures plastic clips and sells them within the UK and also abroad. Hardeep owned 50% of the 100 ordinary shares of £1 each (his brother owns the other 50%) and each had 50% of the voting rights.

Hardeep was a director of the company since he set up Clip Clops Limited with his brother many years ago and Hardeep resigned from his position at the same time as selling the shares. He sold the shares in July 2024 for their market value of £200,000, and made no other gains or losses.

Hardeep has not used any of his £1m lifetime Business Asset Disposal Relief allowance. Hardeep is a higher rate taxpayer. Calculate the CGT for Hardeep on the sale of the shares for this tax year.

Sale Proceeds	£200,000
Less cost of purchase	(£50)
Total Chargeable Gain	£199,950
Less Annual Exemption	(£6,000)
Taxable Chargeable Gain	£124,650

Charge tax at Business Asset Disposal Relief rate of £10:

CORPORATION TAX

Start by collecting all your figures and highlighting them. Separate each figure into separate categories.

TTP = Chargeable gains + Income profits (trading profits)

Tax assessment for **companies** – based on **Financial year** (although companies may choose a different period for tax assessment purposes, called the **accounting period**)

Both the tax year and financial year are different to the calendar year.

Tax year: starts 6 April, ends 5 April the next year.

Financial year: starts 1 April, ends 31 March the next year.

STEP 1: WHAT IS INCOME? WHAT IS CAPITAL?

Work out which items are income, and which are capital. Refer to the notes on Income tax and CGT for further examples.

Income receipts:

Receipt of money that originates from regular income generation.

Dividend received by the company is **exempt income**.

Example:

- * Salary
- * Trading profits of a business will be the income of the owner
- * Interest charged on loans will be the income of the lender
- * Rental income paid to landlord will be the income of the landlord.

Capital receipts:

Falls into this category if there is an income receipt and that income is due to a transaction that not part of a regular activity. Capital receipts are 'one-off' transactions.

Example:

- * Selling your car if you don't sell cars as part of a business.
- * Selling a painting if you don't sell paintings as part of a business.

Income expenditure:

If the expense is incurred due to the day-to-day trading activities of a business, it will be classed as income expenditure.

Example:

- * Payment of rent (for business premises)
- * Paying bills (eg. staff wages, heating, lighting, rent or marketing/stationery expenses)
- * Paying for repairs of business premises/business vehicle etc.

Capital expenditure:

If you spend money on a new capital asset or enhancing an existing asset as part of the business, it is 'capital' expenditure. Capital expenditure is a 'one-off' transaction.

Example:

- * Buying new large equipment/machinery
- * Buying new property
- * Spending money on enhancing existing equipment/machinery/premises
- * Paying bills (eg. staff wages, heating, lighting, rent or marketing/stationery expenses)
- * Paying for repairs of business premises/business vehicle etc.

STEP 2: CALCULATE TRADING INCOME PROFITS:

All Income receipts – Deductible Expenditure – Capital Allowances – Trading losses = Trading Income Profits

Deductible Expenditure:

- Incurred "wholly and exclusively" for trading purposes
- Not prohibited by statute – entertainment, provisions for doubtful debts, only actual debts are allowed to be deducted.
- If of an income nature – eg. rent, wages.

Not deductible: dividend

Capital Allowances (allowable expenditure):

Expenditure on **plant and machinery**, is allowable expenditure.

YEAR 1 Plant and Machinery costs £1,400,000

1. **Calculate the allowance claimed:**
Annual Investment Allowance: £1,000,000 each year.
£1,000,000
+
Deduct 19% of reducing balance
£400,000 x 19% = £76,000

Total Year 1 Allowance: AIA + 19%
£1,000,000 + £76,000 = £1,076,000

2. **Calculate the tax written down value (TWDV):**
Deduct the Total year 1 allowance from the cost:
£1,400,000 - £1,076,000 = £324,000

YEAR 2

3. **Calculate the allowance claimed:**
19% of Year 1 TWDV
£324,000 x 19% = £62,320
4. **Calculate the tax written down value (TWDV):**
Deduct the Year 2 allowance from Year 1 TWDV:
£324,000 - £62,320 = £265,680

Trading Losses:

Previous year:

Net loss = Old loss MINUS Old income

Current year: Carry forward that Net loss to the current year

Income Profits = Current Income MINUS Current loss

Deduct the previous year's net loss from the current income profits.

STEP 3: CALCULATE TAXABLE CHARGEABLE GAIN:

Total sale proceeds – Disposal costs – Initial and subsequent expenditure – Indexation allowance – Roll-over relief – Chargeable Losses = Taxable chargeable gain

Disposal costs, initial and subsequent expenditure:

This is calculated the same way as for individual CGT.

Disposal expenditure = Costs of disposal – eg. agents' commission.

Initial Expenditure:

1. The cost price of the asset – base cost, costs of original purchase.
AND
2. The costs of acquisition – surveyors' and lawyers' fees.

Subsequent expenditure:

4. Subsequent expenditure if enhances asset's value – repairs and general maintenance are not subsequent expenditure.
AND
5. Money spent on defending title to the assets

Rollover relief:

Available to a company which uses the proceeds of sale of a capital asset to fund replacing it with a similar qualifying asset **within 12 months**.

Qualifying assets:

1. Land and buildings
2. Fixed plant and machinery

Exercise:

Where replacement asset costs MORE than the original asset:

Sale proceeds	£115,000
LESS Initial expenditure	£65,000
LESS Acquisition cost	£5,000
LESS Indexation allowance	£15,000

Chargeable gain: £30,000
This is going to be the roll-over gain below.

Replacement:	
Price of new equipment	£130,000
LESS Gain to be rolled over (charg. gain)	£30,000

New tax base cost of replacement £100,000

Where replacement asset costs LESS than the original asset:

Selling old premise: £200,000
Price of new premise: £180,000

Sale:	
Sale proceeds of premise	£200,000
LESS Acquisition cost	£100,000
LESS Indexation allowance	£20,000

Chargeable gain before Rollover Relief £80,000

Replacement:	
Price of replacement premises	£180,000
LESS Gain to be rolled over (80,000 – (200,000-180,000))	£60,000

LESS Indexation allowance £20,000

New tax base cost of premises £100,000

If “Original Asset – Replacement asset” is GREATER than the Chargeable gain: no Rollover Relief.

Trading Losses:

If all the income has been set off by trading losses, you can use the remaining amount to set off capital profits next.

Capital losses:

Capital losses can be carried forward indefinitely within the company but capital losses cannot be carried back.

Calculation:

(i)
Previous year: Where the old loss exceeded the old profits:

Net loss = Old loss MINUS Old profits

(ii)
Current year: Carry forward that Net loss to the current

Capital Profits = Chargeable gain MINUS Net Loss

(iii)
Note that any remainder may be carried forward for next year. – ie. the old net loss last year was greater than this year's Chargeable gain, it will reduce the current Income profits to £0 and whatever is left over can be used next year as in sub-step (ii) above.

Exercise:

Year ended	Trading profit / (loss)	Chargeable gain / (loss)
31 March 2020	£300,000	-
31 March 2021	(£660,000)	(£35,000) – depot £15,000 – share portfolio
31 March 2022	£1,306,500	£206,825

Substantial Shareholding Exemption (SSE):

Corporation tax liability can be cancelled out altogether by the SSE.

This is only relevant to private company acquisitions. SSE only applies to Share sales.

Conditions to be satisfied for SSE:

- The Seller must have owned at least **10% of the ordinary share capital of the Target company's shares.**
- For at least **12 consecutive months** in the previous 2 years.
- AND**
- Both companies must be trading companies/part of a trading group for the 12 months up to the date of the sale.**

STEP 4: CALCULATE TOTAL TAXABLE PROFIT (TTP):

Income Profits (from Step 2) + Chargeable gains (from Step 3) = TTP

STEP 5: CALCULATE CORPORATION TAX PAYABLE:

If the TTP is £50,000 or less, it will be taxed at **19%**. (Small Company Rate)

If the TTP is more than £50,000 but less than £250,000, it will be taxed at **25%** but the Marginal Small Companies Relief will apply.

If the TTP £250,000 or over, it will be taxed at **25%** applying to all profits

Example:

Company A has TTP of £250,000

All TTP is taxed at the corporation tax rate of 25% = £62,500

STRADDLING:

Companies are assessed corporation tax by reference to the financial year (1 Apr – 31 Mar) and the company's accounting year may not coincide with this. The company's accounting period may straddle two Financial Years (the 2022/23 and 2023/24 tax years).

CORPORATION TAX SELF-ASSESSMENT:

TTP of £1,500,000 or less:

- Company estimates its tax liability and pays HMRC **within 9 months and one day of the end of the accounting period.**
- Company must file (electronically) a tax return **within 12 months** of the end of the accounting period, together with its accounts.
- Unless HMRC examine or make enquiries into the tax return to establish whether or not the correct tax has been paid, the company's tax computation will usually be regarded as finalised 12 months after the filing date for the tax return.

Interest will accrue on any under or over-payments.

TTP of more than £1,500,000:

Companies with TTP of **more than £1.5m** are required to pay their tax bills in **four instalments** over the course of the relevant accounting period and the next one.

PRACTICE QUESTION:

The accounting year of Happy Paws limited starts on 1 April and runs until 31 March. For the period ending 31 March 2024, Happy Paws received a **trading income of £493,000** and made **chargeable gains of £135,000** and no losses. Their capital allowances for this period are £12,500 and they had the following outgoings:

Wages	£83,000
Marketing costs	£8,000
Heating costs	£1,500
Net interim dividend	£20,000

Calculate Happy Paws' corporation tax liability.

STEP 1: What is income? What is capital?

Trading income £493,000. No capital because they told us the Chargeable gains figure.

STEP 2: Calculate trading income profits:

£493,000
MINUS Deductible Expenditure:
* Marketing costs 8,000
* Wages 83,000
* Heating costs 1,500
* Net interim dividend 20,000

MINUS capital allowances amount to £12,500

= Trading Income Profits = £368,000

STEP 3: Calculate the Chargeable gain:
Chargeable gain: £135,000.

STEP 4: Calculate the TTP:
Income Profits + Chargeable gains = TTP
£368,000 + £135,000 = £503,000

STEP 5: Calculate the corporation tax:
£503,000 Taxed at 25% = £125,750

CLOSE COMPANIES:

Close companies are subject to special tax treatment. The close company regime is an example of anti-avoidance legislation.

Definition:

s.439 CTA 2010 A company is a close company if it is under the control of 5 or less participators or any number of participators if they are also directors.

Company with 3 shareholders: Yes, close company

Company with 11 shareholders: No

Company with 11 shareholders but all of them are also directors: Yes, close company.

Company with 11 shareholders, one of them is also a director: no, not a close company.

Participator = a person having a share/interest in the company's capital/income. – eg. shareholders, some creditors.

Control = the ability to exercise control over the company's affairs by voting rights/possession of:

- i) issued share capital allowing the greater part (50%+) of income of the company if distributed
OR
- ii) the greater part of the company's assets on winding up.

Taxation effect:

Loans to Participators:

Loans = All advances of credit except:

- a) Credit given by a company in respect of goods/services normally supplied in the course of business if the duration of credit is not more than 6 months/company's normal limit
- b) A loan made in the ordinary course of the company's business – this includes money lending.
OR
- c) A loan to a borrower which, together with other loans made by the company to that borrower, does not exceed £15,000 and the borrower is a full-time worker for the company and does not have a material interest in the company.

Material Interest = indirect control of 5%+ of the company's ordinary share capital or an entitlement on winding up of 5%+ of the assets.

Tax effect for the company:

The company **must pay corporation tax on the loan**. This is calculated at the rate of income tax payable on dividends by higher rate taxpayers. This must be paid within 9 months and 1 day after the end of the accounting period for the loan.

Claim a refund of the tax paid if the loan is repaid/satisfied/written off/waived.

Tax effect for the recipient:

If the loan is written off/waived, the participator is **deemed to receive a dividend** equal to the amount of the loan.

No tax effect for the participator if he pays back the loan in full.

Distributions:

Distribution = includes living accommodation, other benefits in kind provided to participators (if not provided by reason of employment).

Inheritance Tax Implications:

Only individuals pay IHT, so some may form a company to make a transfer through it. A transfer by a close company will result in the value of the gift being distributed between its shareholders.

Transactions in Securities rules:

The transactions in securities rules apply to transactions involving a close company if the transaction gives someone a tax advantage by changing an income receipt into a capital receipt. Where they apply, the rules counteract the tax advantage.

When a transaction may fall within these rules, apply to HMRC for advance clearance. HMRC would then state if they are satisfied that the provisions do not apply here.

VALUE ADDED TAX (VAT)

Legislation introducing VAT is **Value Added Tax Act 1994**.

s.4 VATA 1994 VAT is charged on any supply of goods or services made in the UK where it is a taxable supply made by a taxable person in the course of any business carried on by him.

s.5 Supply of Goods or Services = any supply made in the UK of goods or services done in return for consideration.

s.4 Taxable supply = any supply made in the UK which is not an exempt supply.

s.3 Taxable person = a person who is, or is required to be, registered for VAT purposes.

Person = individuals, partners, companies, unincorporated organisations

Registration:

Businesses are required to register for VAT if their **VAT taxable turnover exceeds** the current **registration threshold**.

The 2024 threshold is £90,000. Registration thresholds change annually.

A person can also **register voluntarily**.

Sched 1 VATA 1994 A person must be registered:

1. If the value of their **VAT taxable turnover exceeds** the current **registration threshold**.
OR
2. If there are reasonable grounds for believing that their **VAT taxable turnover** will exceed the threshold in the **next 30 days**.

De-registration:

Any registered person may apply for de-registration and cease to be taxable if the value of their future annual taxable supplies will not exceed the VAT registration threshold.

Output and input tax:

s.24 VATA 1994 Output tax = the VAT chargeable by a business when making a supply of goods/services. The VAT relates to the output of the business.

s.24 Input tax = The VAT paid by a person on goods or services supplied to the person. The VAT relates to goods/services bought by the person.

A VAT registered business offsets input tax against output tax it has charged customers and only accounts for the difference to HMRC.

Examples:

Billy makes and sells furniture.
Buy the logs. – Mary sells logs for £80: VAT on £80 is £16. Billy will pay £80 + £16
Buy screws. – Amanda sells screws for £20: VAT on £20 is £4. Billy will pay £20 + £4

Billy will pay £20 in input tax.
When Billy sells the table he makes for £200 plus VAT (£40)
Because Billy has already paid £20 in VAT, now Billy will only send £20 to HMRC.

Rate of VAT:

The rate of VAT will depend on the type of supply.

The standard rate of VAT is **20%**

s.19 VATA 1994 The price of any product/services is deemed to be VAT inclusive unless stated otherwise.

Price + VAT (20%) = 1.2 x Price

The seller must account for the VAT element amount to HMRC.

Types of Supply:

A business can make four kinds of supply:

1. **Standard Rated – s.2 VATA 1994:**
The standard rate is 20%. A supply by a business will be standard rated unless it falls within one of the other three categories.
2. **Reduced Rated – Sched 7A VATA 1994:**
The reduced rate is 5%.

Examples of reduced-rated supplies:

- * Domestic heating/power supply

- * Installation of elderly mobility aids
- * Stop-smoking products
- * Children's car seats

3. **Zero Rated – Sched 8 VATA 1994:**
Some supplies are zero rated for public policy reasons.

Examples of zero-rated supplies:

- * Some basic food items
- * Export items
- * Farming inputs
- * Books/newspapers
- * Construction of new houses
- * Public transport
- * Children's clothing.

Zero rated supplies are also taxable supplies so when a VAT registered business makes zero rated supplies, it can recover any VAT suffered on its inputs.

4. **Exempt – Sched 9 VATA 1994:**

Examples of exempt supplies:

- * Insurance services
- * Financial services
- * Education/health services

Record-keeping:

As from Apr 2019, businesses that have a turnover above the VAT registration threshold **must keep their VAT records** and make VAT return **online**.

Smaller businesses may also choose to do this.

VAT registered businesses that have a turnover below the registration threshold must make their VAT return online, with the first return starting on/after Apr 2020.